

DAX Measures EXPLANATION

Churn Rate

- Formula: $\text{Churned Customers} \div \text{Total Customers}$
- Purpose: Shows the percentage of customers who left the company.
- Insight: High churn rate signals customer dissatisfaction or competitive pressure.

Retention Rate

- Formula: $1 - \text{Churn Rate}$
- Purpose: Indicates the percentage of customers retained.
- Insight: A strong retention rate reflects loyalty and effective customer engagement.

Revenue Lost

- Formula: Sum of Monthly Charges for churned customers
- Purpose: Quantifies the financial impact of churn.
- Insight: Helps prioritize retention strategies for high-value customers.

Average Tenure

- Formula: Average of tenure (months)
- Purpose: Measures how long customers typically stay.
- Insight: Longer tenure suggests stronger loyalty and satisfaction.

Average Monthly Charges

- Formula: Average of monthly charges
- Purpose: Provides a benchmark for customer spending.
- Insight: Useful for segmenting customers by revenue contribution.

Customer Lifetime Value (Estimated)

- Formula: $\text{Average Monthly Charges} \times \text{Average Tenure}$
- Purpose: Estimates the total revenue a customer generates during their relationship.
- Insight: Critical for understanding long-term profitability.

Active Customers

- Formula: Count of customers with churn = "No"

- Purpose: Shows the current customer base.
- Insight: Useful for tracking growth and retention.

Churned Customers

- Formula: Count of customers with churn = "Yes"
- Purpose: Identifies the number of lost customers.
- Insight: Helps measure churn volume and trend.